

Cognitive Dissonance Hurts Your Returns

OF ALL THE failings of human wetware, cognitive dissonance may be the most intriguing. Social psychologist Leon Festinger³⁸⁴ coined the phrase in 1956, observing that “human beings strive for internal psychological consistency to function mentally in the real world.”³⁸⁵

When facts conflict with beliefs, people find ways to ignore the facts, rationalizing them so their disproven theories can survive. Otherwise, the resulting dissonance causes too much cognitive tension.

Economist John Kenneth Galbraith famously referenced cognitive dissonance before that phrase was commonly used, writing, “Faced with the choice between changing one’s mind and proving that there is no need to do so, almost everyone gets busy on the proof.”³⁸⁶

Much of what we think and do is predicated upon our abstract belief systems. In the context of investing, cognitive dissonance occurs in the mind of an individual when a theoretical investment belief is confronted by evidence demonstrating outcomes contrary to what our most cherished theories say should occur. What is important is how we respond to this conflict. We can rationalize the data, or we can accept the facts and change our beliefs.

Or not.



Consider the ideological world you inhabit. What you think, what you believe, the ideologies that resonate with you, like politics, religion, and philosophy. Anything that contradicts them is going to be looked at askance, given how cognitively expensive it was to construct your model of the universe.

How expensive? The human brain weighs about 3 pounds—just 2% of our